POOLED INTEREST - OTHER INVESTMENT PRODUCTS

Learning Outcome

- describe mutual funds and compare them with other pooled investment products

A fund management service for institutions or individual investors with substantial assets is the **separately managed account** (SMA), which is also commonly referred to as a "managed account," "wrap account," or "individually managed account."

SMAs are managed exclusively for the benefit of a single individual or institution. Unlike a mutual fund, the assets of an SMA are owned directly by the individual or institution. The main disadvantage of an SMA is that the required minimum investment is usually much higher than with a mutual fund.

Large institutional investors are generally the dominant users of SMAs. SMAs enable asset managers to implement an investment strategy that matches an investor's specific objectives, portfolio constraints, and tax considerations, where applicable. For example, a public pension plan investing in an asset manager's large value equity strategy might have a socially responsible investment preference. In this case, the plan sponsor may wish to exclude certain industries, such as tobacco and defense, while also including additional companies that are deemed favorable according to other environmental, social, and governance (ESG) considerations.

Exchange-Traded Funds

Exchange-traded funds (ETFs) are investment funds that trade on exchanges (similar to individual stocks) and are generally structured as open-end funds. ETFs represent one of the fastest-growing investment products in the asset management industry. According to BlackRock, global ETF assets increased from US$428 billion in 2005 to US$4.9 trillion as of June 2018. Long-term investors—both institutional and retail—use ETFs in building a diversified asset allocation. While ETFs are structured similarly to open-end mutual funds, some key differences exist between the two products. One difference relates to transaction price. Because they are traded on exchanges, ETFs can be transacted (and are priced) intraday. That is, ETF investors buy the shares from other investors just as if they were buying or selling shares of stock. ETF investors can also short shares or purchase the shares on margin. In contrast, mutual funds typically can be purchased or sold only once a day, and short sales or purchasing shares on margin is not allowed. Mutual fund investors buy the fund shares directly from the fund, and all investments are settled at the net asset value. In practice, the market price of the ETF is likely to be close to the net asset value of the underlying investments.

Other key differences between ETFs and mutual funds relate to transaction costs and treatment of dividends and the minimum investment amount. Dividends on ETFs are paid out to the shareholders whereas mutual funds usually reinvest the dividends. Finally, the minimum required investment in ETFs is usually smaller than that of mutual funds.

Hedge Funds

Hedge funds are private investment vehicles that typically use leverage, derivatives, and long and short investment strategies. The origin of hedge funds can be traced back as far as 1949 to a fund managed by A.W. Jones & Co. It offered a strategy of a non-correlated offset to the "long-only" position typical of most portfolios. Since then, the hedge fund industry has grown considerably, with global hedge fund assets totaling US$3.3 trillion as of May 2017.

hedge funds are often used by investors for portfolio diversification purposes. In general, hedge funds share a few distinguishing characteristics:

- *Short selling*: Many hedge funds implement short positions directly or synthetically using such derivatives as options, futures, and credit default swaps.
- *Absolute return seeking:* Hedge funds often seek positive returns in all market environments.
- *Leverage:* Many hedge funds use financial leverage (bank borrowing) or implicit leverage (using derivatives). The use and amount of leverage are dependent on the investment strategy being implemented.
- *Low correlation:* Some hedge funds have historically exhibited low return correlations with traditional equity and/or fixed-income asset classes.
- *Fee structures:* Hedge funds typically charge two distinct fees: a traditional asset-based management fee (AUM fee) and an incentive (or performance) fee in which the hedge fund earns a portion of the fund's realized capital gains.[17] Hedge funds have traditionally charged management fees of 2% and incentive fees of up to 20%, although there has been downward pressure on those fees amid increased competition and the availability of competing products.

Hedge funds are not readily available to all investors. They typically require a high minimum investment and often have restricted liquidity by allowing only periodic (e.g., quarterly) withdrawals or having a long fixed-term commitment.

Private Equity and Venture Capital Funds

Private equity funds and **venture capital funds** are alternative funds that seek to buy, optimize, and ultimately sell portfolio companies to generate profits. As of December 2017, assets under management in the private equity industry totaled US$3.1 trillion, a historical high point.[18] Most private equity and venture capital funds have a lifespan of approximately 7–10 years (but usually subject to contractual extensions). Unlike most traditional asset managers that trade in public securities, private equity and venture firms often take a "hands-on" approach to their portfolio companies through a combination of financial engineering (e.g., realizing expense synergies, changing capital structures), installment of executive management and board members, and significant contributions to the development of a target company's business strategy. The final investment stage, often referred to as the "exit" or "harvesting" stage, occurs when a private equity or venture capital fund divests its portfolio companies through a merger with another company, the acquisition by another company, or an initial public offering (IPO).

As with most alternative funds, the majority of private equity and venture capital funds are structured as limited partnerships. These limited partnership agreements exist between the fund manager, called the general partner (GP), and the fund's investors, called limited partners (LPs). The funds generate revenue through several types of fees:

- *Management fees:* Fees are based on committed capital (or sometimes net asset value or invested capital) and typically range from 1–3% annually. Sometimes these fees step down several years into the investment period of a fund.
- *Transaction fees:* Fees are paid by portfolio companies to the fund for various corporate and structuring services. Typically, a percentage of the transaction fee is shared with the LPs by offsetting the management fee.
- *Carried interest:* Carried interest is the GP's share of profits (typically 20%) on sales of portfolio companies. Most GPs do not earn the incentive fee until LPs have recovered their initial investment.
- *Investment income.* Investment income includes profits generated on capital contributed to the fund by the GP.

OPTIONAL UNTESTED SEGMENT

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

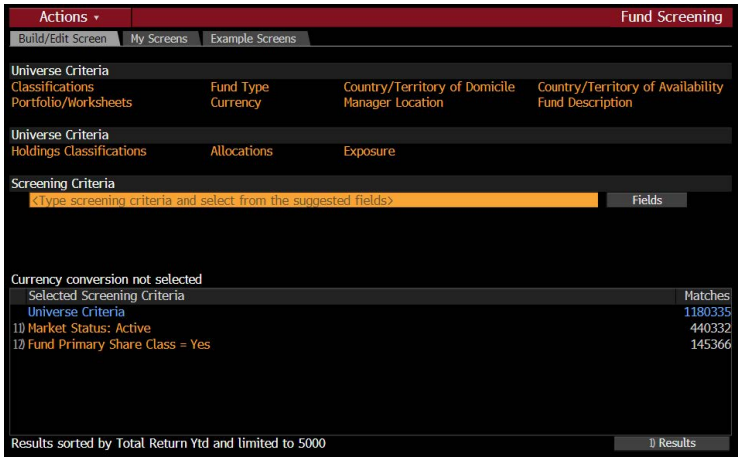
Bloomberg is one of the main market data platforms used globally by finance professionals throughout their workflows. In this optional section, we will explore a real-world application of the CFA Curriculum on Bloomberg.

{FSRC} FUND SEARCH

The Bloomberg FSRC function allows you to view a database of all the world's leading funds using such criteria as asset class focus, domicile, currency denomination, and holdings.

> "FSRC <GO> allows you to generate a list of funds based on specific search criteria, so you can identify investment opportunities. You can also save and send custom searches, so you can share investment ideas with colleagues. There are two primary screens: the build/edit screen and the results screen. You can navigate the build/edit screen by using the tabs at the top. Once you set your search criteria, you can display the results screen by clicking the Results button at the bottom-right." -Bloomberg

To explore this function, type FSRC into the Bloomberg command line and press Enter or <GO>.



© 2023 Bloomberg L.P.

Please provide feedback on this Bloomberg feature.

Discuss Filter

Discussion

What do you want to discuss... (required)

No messages to display

© 2025 CFA Institute. All Rights Reserved.

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search